

FEDERAL MARITIME COMMISSION

ADEBISI A. ADENARIWO

v.

BDP INTERNATIONAL, ZIM
INTEGRATED SHIPPING, LTD. AND ITS
AGENT (LANSAL) ET AL.

Informal Docket
No. 1921(I)

Served: February 20, 2014

BY THE COMMISSION: Mario CORDERO, *Chairman*,
Richard A. LIDINSKY, Jr. and William P. DOYLE,
Commissioners; Rebecca F. DYE, and Michael A. KHOURI,
Commissioners, dissenting.

Order Affirming Settlement Officer's Decision

I. PROCEEDING

Adebisi A. Adenariwo (Mr. Adenariwo or Complainant), a principal of MacBride Nigeria Ltd. filed an informal complaint with the Federal Maritime Commission (FMC or Commission) on May 3, 2011. Complainant alleges that BDP International, Inc. (BDP), Zim Integrated Shipping, Ltd. (Zim), and Zim's agent, Lansal¹ (collectively Respondents) violated various sections of the

¹ On May 26, 2011, BDP and Zim were served with the complaints and memoranda consolidating the proceedings; Lansal was not served and is not currently a party to the proceeding.

Shipping Act of 1984 (the Shipping Act) and sought reparations. Complainant asserts losses of \$240,606.00,² but 46 C.F.R. §502.301(b) limits the claim to a maximum of \$50,000.

On March 7, 2013, a Commission Settlement Officer (SO) issued a Decision (SO Decision). Within thirty days from the issuance of the SO's Decision, this matter came before the Commission on *sua sponte* review requested by a member of the Commission pursuant to 46 C.F.R. § 502.227(d).

For the reasons stated below, the Commission affirms the SO Decision to award Complainant reparations in the total amount of \$18,308.94, plus interest.

II. BACKGROUND

The claims asserted in the Complaint arise from the loss of Complainant's³ concrete products in two containers. BDP, a licensed freight forwarder, arranged the transportation and the equipment was transported by Zim, a vessel-operating common carrier. The Complainant alleges that pursuant to Zim's orders, container number ZCSU889833-9 was unreasonably held by Zim's agent Lansal until payment for storage charges for a separate container shipment was made. Zim pointed to the general lien clause in the terms and conditions of shipment, and said that its refusal to release the second shipment based on outstanding charges on a separate shipment was reasonable pursuant to its contractual rights. Complainant asserts that BDP and Zim violated § 10(d)(1) of the Shipping Act of 1984, 46 U.S.C. §41102(c), by failing to observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing

² This includes \$13,192.94 for damages incurred as a result of failure to release the cargo, and \$5,116.00 for a refund on the pre-paid contract.

³ Claimant is a principal of MacBride, a corporation in the business of producing masonry products in Lagos, Nigeria.

or delivering property. Complainant alleges that his losses include the cost of the equipment, lost profits, administrative expenses, “repeat transaction” (described as the “cost of starting transaction all over again”), and a capital charge (described as “cost of capital on invested funds based on prevailing bank interest rate,” identified as 9.5%).

III. DISCUSSION

The SO properly found that Zim violated § 10(d)(1) of the Shipping Act, 46 U.S.C. §41102(c),⁴ relying primarily on *Colgate Palmolive Co. v. The Grace Line*, 14 S.R.R. 600, 602 (FMC 1974), in which the Commission stated that “the merits of each claim must be considered *in toto* and independent of claims under any other bill of lading.” The SO properly reasoned that, while the law permits carriers to exercise valid maritime liens and hold a shipment for charges that accrue on that specific shipment’s bill of lading, holding a shipment for charges unrelated to that shipment is unreasonable.⁵ In *Yakov Kobel v. Hapag-Lloyd A.G.*, 32 S.R.R. 1720, 1731 (FMC July 12, 2013), the Commission clarified that the proper test for determining if § 10(d)(1) has been violated is “whether there was a failure in observing and enforcing the established just and reasonable regulations and practices, regardless of whether the question involves a single shipment or multiple shipments.” The Commission stated that even a single

⁴ On October 14, 2006, the President signed a bill reenacting the Shipping Act as positive law. The bill’s purpose was to “reorganize[e] and restate[e] the laws currently in the appendix to title 46. It codifies existing law rather than creating new law.” H.R. Rep. 109-170, at 2 (2005). The Commission continues to cite provisions of the Act by their former section references, and that practice will be followed in this Order.

⁵ *Bernard & Weldcraft Welding Equip. v. Supertrans Int’l Inc.*, 29 S.R.R. 1338, 1356 n.14 (ALJ 2003) (“disputes over earlier unrelated shipments cannot be used by either a carrier or a shipper as justification for refusing to release the cargo or to pay lawful freight money.”).

failure qualifies as a violation of the statute. *Id.* See also *Bimsha International v. Chief Cargo Services, Inc.*, 32 S.R.R. 1861, 1866 (FMC 2013) (“NVOCCs violate section 10(d)(1) when they fail to fulfill NVOCC obligations, through single or multiple actions or mistakes, and therefore engage in an unjust and unreasonable practice.”); *Smart Garments v. Worldlink Logix Services, Inc.*, 33 S.R.R. 65, 68 (FMC 2013) (if the regulated entity “establishes just and reasonable regulations and practices, but fails to observe and enforce those regulations and practices, then it has violated section 10(d)(1), regardless of whether a single shipment or multiple shipments are involved”); *Total Fitness Equipment, Inc. d/b/a, Professional Gym v. Worldlink Logistics, Inc.*, 28 S.R.R. 534, 542 (FMC 1998), *aff’d*, *Worldlink Logistics, Inc. v. Federal Maritime Comm’n*, 203 F.3d 54 (D.C. Cir. 1999) (attempting to collect an unreasonable debt by refusing the release of cargo was a violation of the Shipping Act); *Century Metal Recycling PVT. Ltd. v. Dacon Logistics, LLC dba Coda Forwarding*, 33 S.R.R. 17, 19 (FMC 2013); *Best Way USA, Inc. v. Marine Transport Logistics*, 33 S.R.R. 13, 14 (FMC 2013); *Petra Pet, Inc. v. Panda Logistics Ltd.*, 33 S.R.R. 4, 9 (FMC 2013); *Paul Houben v. World Moving Services, Inc.*, 31 S.R.R. 1400 (FMC 2010); *William J. Brewer v. Saeid B. Maralan*, 29 S.R.R. 6 (FMC 2001); *Hugh Symington v. Euro Car Transport, Inc.*, 26 S.R.R. 871 (ALJ 1993); *Tractors and Farm Equipment Limited v. Cosmos Shipping Co.*, 26 S.R.R. 788 (ALJ 1992); and *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11 (ALJ 1991).

The SO awarded reparations based on the payment required at the time of the violation, taking into consideration the Complainant’s duty to mitigate damages⁶ and the Complainant’s actual knowledge of the imminent potential loss of goods.⁷ The SO

⁶ The Commission applies the principle of mitigation in analyzing damages by not allowing reparations of damages for losses that the party “could have reasonably avoided without an undue risk or burden...” *Rose International, Inc. v. Overseas Moving Network*, 29 S.R.R. 119, 191 (F.M.C. 2001).

⁷ Communication with the Claimant made clear the potential loss of

properly awarded \$13,192.94 based on the payments required at the time of the shipment's total loss, or \$7,223.80 for container number ZCSU258371-4, and \$5,969.14 for container number ZCSU889833-9. The SO found that the Complainant could have mitigated his damages, obtained release of the containers, and avoided the selloff of their contents, by paying \$13,192.94. The SO's denial of the reparation claim of the other costs allegedly incurred by the Complainant was proper because, as the SO states, such significant losses could have been mitigated by paying a relatively small demurrage charge to obtain the goods.

The SO awarded Complainant \$5,116.00 as a refund on the pre-paid contract, based on the shipper's inability to secure delivery since the containers were sold, which rescinded the transportation contract. This refund was appropriate because the contract was pre-paid and the delivery was not completed.

CONCLUSION

THEREFORE, IT IS ORDERED, That Respondents violated 46 U.S.C. §41102(c), and Claimant is entitled to reparations in the amount of \$18,308.94, plus interest;

IT IS FURTHER ORDERED, That Respondents BDP International, Inc., Zim Intergrated Shipping, Ltd., and Zim's agent, Lansal, shall pay to Complainant by March 7, 2014, reparations in the amount of \$18,308.94 and interest in the amount of \$330.27, totaling \$18,639.21.

goods for nonpayment. On August 21, 2008, Complainant sent an email to Respondents, identifying the subject as "container #ZCSU258371-4, ZCSU889833-9 LAST APPEAL FOR RELEASE".

IT IS FURTHER ORDERED, That this proceeding is discontinued.

By the Commission.

Karen V. Gregory
Secretary

Commissioner Dye, dissenting:

I dissent from the majority's decision to uphold the settlement officer's finding that Zim Integrated Shipping violated section 41102(c) of title 46, United States Code, and the settlement officer's award of \$18,308.94 plus interest, in reparations, for the reasons stated in the dissent by Commissioner Khouri, with whom I joined, in *Yakov Kobe and Victor Berkovl v. Hapag-Lloyd A.G., Hapag-Lloyd American, Inc., Limco Logistics, Inc., International TLC, Inc.*, 32 S.R.R. 1720, (FMC 2013).

Commissioner Khouri, dissenting:

I dissent from the majority's decision to uphold the SO's finding that Zim Integrated Shipping, Ltd. (Zim) violated section 10(d)(1), 46 U.S.C. Section 41102(c), of the Shipping Act.

I adopt and fully incorporate herein the views, arguments and reasoning set forth in my dissents in *Yakov Kobel v. Hapag-Lloyd A.G.*, 32 S.R.R. 1720 (FMC 2013); *Bimsha International v. Chief Cargo Services, Inc.*, 32 S.R.R. 1861 (FMC 2013); *Smart Garments v. Worldlink Logix Services, Inc.*, 33 S.R.R. 65 (FMC 2013); *Temple v. Anderson*, Docket No. 1919(I), __ S.R.R. __, (FMC October 22, 2013) (Order vacating and remanding decision of Settlement Officer); *Petra Pet, Inc., v. Panda Logistics Ltd.*, 33 S.R.R. 4 (FMC 2013), *Best Way USA, Inc. v. Marine Transport Logistics*, 33 S.R.R. 13 (FMC 2013); *Century Metal Recycling Pvt.*

Ltd. v. Dacon Logistics LLC, 33 S.R.R. 17 (FMC 2013); and *Sulaiman Bah v. Amadu K. Jah*, Docket No. 1915(I), __ S.R.R. __ (FMC December 20, 2013).

At issue in this case is the loss of Complainant's concrete products in two containers. Complainant alleged that, pursuant to Zim's orders, the second container was held by Zim's agent until payment was made for storage charges related to the first container shipment. The contents of both containers were ultimately sold. On the basis of this evidence, and reasoning that holding a shipment for charges unrelated to that shipment is "unreasonable," the SO determined that Respondent violated section 10(d)(1).

There is no allegation in the pleadings and Complainant puts forth no evidence that Zim engaged in a "practice" of holding shipments for unrelated charges. As discussed in *Kobel*, *Bimsha*, *Smart Garments*, *Temple*, *Petra Pet*, *Best Way*, *Century Metal*, and *Bah*, a successful claim under section 10(d)(1) of the Shipping Act requires more. As I held in *Temple*:

[A] cognizable section 10(d)(1) claim requires (i) a "practice" of conduct, acts or omissions, with the term "practice" meaning the complained of activity was continual and habitual conduct over time, (ii) a determination that such conduct, acts or omissions are unjust and unreasonable, and, last, (iii) the practice of employing such unjust and unreasonable activity is adverse and detrimental to the commerce of the United States.

Temple, *supra*, at __.

While I acknowledge that the evidence presented to the SO may demonstrate a failure by Zim to fulfill its duties and responsibilities pursuant to the law of contracts, without more, Zim's failure in the case *sub judice* simply does not fit within the plain language or purpose of section 10(d)(1). As I noted in *Kobel*:

The Commission has a valuable and central role to play in our oversight of ocean container commerce and protection

of fair competition. The Shipping Act was enacted and subsequently revised and amended for an important purpose: to ensure competition and protect commerce and to protect the maritime shipping community in the larger context of the "ocean commerce of the United States" (footnote omitted) from certain types of behavior by regulated entities that is harmful or detrimental to commerce."⁸

Kobel, 32 S.R.R. at 1747.

To state this proposition in another way and hopefully add some illumination to prior arguments – for a section 10(d)(1) claim to advance, the "practice", as properly viewed and circumscribed, must also be unjust and unreasonable. It is here where the element of deterring the commerce of the United States must be alleged and established by the Claimant. Thus it follows that a "practice" - and most clearly a single or series of isolated incidents - that do not result in the commerce of the United States being deterred may not be found to be unjust and unreasonable. (*Stockton Elevators, supra.*) The Respondent's acts or omissions may well run afoul of other standards of common law provisions – but section 10(d)(1) of the Shipping Act of 1984 is not properly implicated or invoked.

Based on the foregoing discussion and analysis, I find that the factual allegations in this case simply do not state a claim that is cognizable under section 10(d)(1) of the Shipping Act. Therefore, claims against respondents should be dismissed, and I disapprove the SO's finding that Complainant is entitled to reparations.

⁸ See *Stockton Elevators*, 8 F.M.C. 187, 201 (emphasis added) ("However, even if the granting of the five allowances or the arranging for a single wharfage reduction could be designated practices, neither could be found to be unjust or unreasonable. The commerce of the United States was not deterred.")